

What the July 2 Policy Update Changed

A plain-language breakdown of Policy Manual Update IS-ETW/BFE-2026-008 (Income Support), issued and effective July 2, 2026

On July 2, 2026, the government issued an internal policy bulletin telling its own staff how to apply the new law. It is short, it is written for caseworkers, and it is easy to miss. But it spells out, in the government's own words, several changes that affect real people. This breakdown puts each one in plain language. Read it alongside the original bulletin, which is reproduced with this document.

First, which program this is about

This bulletin is about the **Income Support** program — the general assistance program — not AISH or ADAP directly. It matters to our community for two reasons. Income Support is where many people land if they are found ineligible for AISH or ADAP. And the bulletin confirms the wider restructure: it names the new AISH and ADAP split and folds old disability categories into it. Where a point below applies only to Income Support or only to “Expected to Work” clients, it says so. Keeping these programs straight is not a technicality — it is how the record stays accurate.

The change that matters most: more decisions you cannot appeal

The bulletin lists several decisions that are, in its own words, **not appealable**. A decision not to exempt someone from a twelve-month ineligibility period after a fraud conviction is not appealable. Decisions about how a financial resource is applied or prorated to a month are not appealable. And a decision about whether to exempt a client from having to repay an overpayment is not appealable. This is the same pattern the documented record already establishes elsewhere in this reform: specific decisions are sealed off from independent review, one by one.

Why this belongs on the record

The effect is what matters here, and the effect is documented in the government's own bulletin: the number of decisions a person can challenge is shrinking. When a decision cannot be appealed, an error in that decision has no path to correction. That is true whether or not anyone intended harm. The record establishes the removal of the safeguard; it does not need to establish a motive.

A time limit with a penalty: “comply or lose it”

For **Expected to Work clients without children** — an Income Support category, not AISH — the bulletin introduces a maximum of **six consecutive months** of benefits if the person is not complying with the obligations in their individual plan. On top of that, a **three-month period of ineligibility** may apply after a file is closed for not meeting those obligations. This is a welfare-to-work time limit with a penalty attached. It shows the same logic that runs through the ADAP design: support is made conditional on employment activity, and falling short of the activity carries a financial cost.

A new paperwork requirement every year

Applicants and clients must now provide a copy of their annual **income tax notice of assessment** at application and every year afterward. For people who struggle with filing, or who owe nothing and see no refund yet are still required to file, this adds a recurring hurdle. The documented concern is that a missed filing can be treated as non-compliance rather than as the access barrier it often is.

Two old disability categories quietly ended

The bulletin rescinds the **Handicap Benefit** and the **Client Sub-Type 43 “Severe Handicap”** designation within Income Support. These older disability sub-categories are discontinued as part of aligning everything to the new AISH and ADAP split. People are told to apply to whichever of the two programs fits.

Smaller changes worth knowing

- Monthly employment income exemptions **increased** for Barriers to Full Employment (BFE) clients.
- Core shelter can now be paid for both type A and type B continuing care homes up to the private room rate, paid directly to the home unless a director decides otherwise.
- How and where benefit rates are set was moved from the Act into the regulation, and specific rates were set for the children's portion of the Core Essential benefit.

The bottom line

Underneath the dry language, this bulletin does three things that touch people directly: it removes appeal routes, it puts a time limit and a penalty on Expected to Work clients, and it adds an annual paperwork requirement. Each is documented here in the government's own words. The original bulletin is reproduced with this breakdown so you can read the source for yourself.

Source: Government of Alberta, Income Support Policy Manual Update IS-ETW/BFE-2026-008, “Amendments to the Income and Employment Supports Act and Income Support, Training and Health Benefits Regulation,” issued July 2, 2026, effective immediately. This breakdown is a plain-language companion, not the official document. Where the two differ, the official bulletin governs.